

Express View: On economy, a cautious optimism

From around 87.5 in end-February, the rupee has **strengthened** to a **shade** below 86-to-the-dollar, **seemingly** ending a **veritable free fall** over the last six months. This was a period, from October 2024 to February 2025, that saw total net sales of \$22.7 billion by **foreign portfolio investors** (FPI) in India's equity and debt markets. Those outflows have slowed, if not reversed, in the current month, even as the **depletion** of the country's foreign exchange reserves — from nearly \$705 billion in end-September to \$624 billion by mid-January — **has** been **stemmed**. Add to this a 42-month-low **merchandise trade deficit** in February, the overall external finances look better compared to the situation a couple of months ago. But it isn't just the rupee **stabilising**, the FPIs showing signs of returning to buy again and the forex reserves recovering to \$654 billion-plus are also part of the good news.

Even more **heartening, perhaps**, is the **softening** of **inflationary** pressures. The 3.6 per cent year-on-year **increase** in the official consumer price index in February **was** lower than the Reserve Bank of India's (RBI) 4 per cent target. The **bugbear**, food inflation, was also at only 3.75 per cent. Ground reports so far suggest a bumper rabi harvest this time, which should bring to an end a **prolonged episode** of **elevated** food prices from around July 2023 to December 2024. That, in turn, was largely **courtesy** the effects of a strong El Niño event from April 2023 through May 2024. **Unlike** in 2023-24, India has had both good monsoon rains and — **thanks to a La Niña, albeit** mild and short — no **unduly** delayed **onset** or early exit of winter. With no heat waves of the kind **witnessed** last March, the production **prospects** for most winter-spring crops — from wheat to chana and onion — **are** bright. **Easing** food **inflation** should, apart from making it easier for the RBI to cut interest rates, also **spur** consumption by releasing money that low-income households **in particular** can spend on other items.

It would be **hasty**, however, to **extrapolate** from the above and **draw conclusions** beyond cautious **optimism**. The potential **spillovers** from US President Donald Trump's trade wars, and his **threats** of **imposing reciprocal tariffs** on Indian exports, **are** too large to be ignored. The markets may be **shrugging** these **off** for the moment; the Sensex is 5.4 per cent up from its most recent closing low. But the government and RBI cannot **take their foot off the pedal**. The **focus** on **macroeconomic** stability should **remain** — it would mean lowering interest rates and ensuring adequate **liquidity** in the system **accompanied** by **sustained fiscal consolidation**. **Getting** domestic policy priorities right **is** the best insurance against risk **stemming from** outside.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Optimism** (noun) – Hope, Positivity, Confidence, Cheerfulness, Bright outlook
आशावाद
2. **Strengthen** (verb) – Fortify, Reinforce, Boost, Enhance, Intensify मजबूत करना
3. **A shade** (phrase) – Slightly, A bit, A little, Somewhat, Marginally थोड़ा सा
4. **Seemingly** (adverb) – Apparently, Ostensibly, On the surface, Evidently, Superficially प्रतीत होता है
5. **Veritable** (adjective) – Genuine, True, Real, Authentic, Bona fide वास्तविक
6. **Free fall** (noun) – a rapid decline that cannot be stopped. निर्बाध गिरावट
7. **Foreign portfolio investor** (FPI) (noun) – an entity or individual from a foreign country who invests in a country's financial assets, such as stocks, bonds, or other securities, without taking a controlling interest in any company
8. **Depletion** (noun) – Reduction, Exhaustion, Drainage, Decrease, Diminishment कमी
9. **Stemmed** (adjective) – Controlled, Checked, Halted, Curtailed, Restricted रोक हुआ
10. **Merchandise trade deficit** (noun) – it occurs when a country's total value of imported goods (merchandise) exceeds the total value of its exported goods, resulting in a negative balance of trade माल व्यापार घाटा
11. **Stabilise** (verb) – Balance, Steady, Settle, Normalize, Secure स्थिर करना
12. **Heartening** (adjective) – Encouraging, Uplifting, Reassuring, Promising, Inspiring उत्साहवर्धक
13. **Perhaps** (adverb) – Maybe, Possibly, Potentially, Conceivably, Perchance शायद
14. **Softening** (noun) – Easing, Reduction, Decline, Lessening, Mitigation नरमी
15. **Inflationary** (adjective) – Price-rising, Cost-increasing, Inflation-causing, Inflation-driven, Price-sensitive मुद्रास्फीतिक
16. **Bugbear** (noun) – Concern, Worry, Problem, Fear, Anxiety चिंता का विषय
17. **Prolonged** (adjective) – Extended, Lengthy, Drawn-out, Protracted, Long-drawn लंबा
18. **Episode** (noun) – Event, Incident, Occurrence, Phase, Period घटना
19. **Elevated** (adjective) – High, Increased, Raised, Heightened, Escalated बढ़ा हुआ
20. **Courtesy of** (phrase) – Thanks to, Due to, Because of, As a result of, With the help of की वजह से

21. **El Niño** (noun) – A climate pattern causing warming in the Pacific Ocean एल नीनो
22. **Unlike** (preposition) – Different from, In contrast to, As opposed to, Contrary to, Distinct from के विपरीत
23. **Thanks to** (phrase) – Due to, Because of, Owing to, As a result of, On account of की वजह से
24. **La Niña** (noun) – A climate pattern causing cooling in the Pacific Ocean ला नीना
25. **Albeit** (adverb) – Although, Even though, Though, Notwithstanding, However हालांकि
26. **Unduly** (adverb) – Excessively, Unnecessarily, Overly, Unreasonably, Inordinately अत्यधिक
27. **Onset** (noun) – Start, Beginning, Arrival, Commencement, Initiation शुरुआत
28. **Witness** (verb) – Observe, See, Experience, Watch, Notice देखना
29. **Prospect** (noun) – Possibility, Outlook, Potential, Expectation, Likelihood संभावना
30. **Easing** (adjective) – Relaxing, Reducing, Lessening, Mitigating, Alleviating कम होना
31. **Spur** (verb) – Encourage, Stimulate, Prompt, Provoke, Motivate प्रेरित करना
32. **In particular** (phrase) – Especially, Specifically, Particularly, Notably, Above all खास तौर पर
33. **Hasty** (adjective) – Rash, Impulsive, Rushed, Quick, Hurried जल्दबाज़
34. **Extrapolate** (verb) – Infer, Predict, Estimate, Project, Deduce अनुमान लगाना
35. **Draw conclusion** (phrase) – Infer, Deduce, Conclude, Determine, Decide निष्कर्ष निकालना
36. **Optimism** (noun) – Hope, Positivity, Confidence, Cheerfulness, Bright outlook आशावाद
37. **Spillover** (noun) – Effect, Impact, Consequence, Result, Influence प्रभाव
38. **Impose** (verb) – Enforce, Levy, Apply, Introduce, Inflict थोपना
39. **Reciprocal** (adjective) – Mutual, Corresponding, Equivalent, Exchange, Bilateral पारस्परिक
40. **Tariff** (noun) – Duty, Tax, Levy, Charge, Impost शुल्क
41. **Shrug off** (phrasal verb) – Ignore, Dismiss, Disregard, Brush aside, Overlook नज़रअंदाज़ करना
42. **Take one's foot off the pedal** (phrase) – to do something with less effort and determination

43. **Macroeconomic stability** (noun) – a condition with which an economy has the ability to resist external shocks.

44. **Liquidity** (noun) – liquid assets; cash. नकद

45. **Accompany** (verb) – Go with, Follow, Complement, Escort, Attend साथ होना

46. **Sustained** (adjective) – Continuous, Prolonged, Persistent, Steady, Uninterrupted निरंतर

47. **Fiscal consolidation** (noun) – it describes government policy intended to reduce deficits and the accumulation of debt.

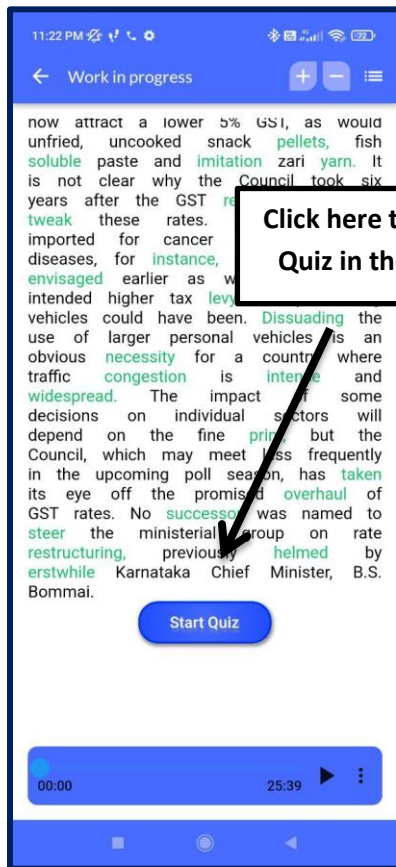
48. **Stem from** (phrasal verb) – Originate from, Arise from, Result from, Emerge from, Be caused by से उत्पन्न होना

@mocks_wallah

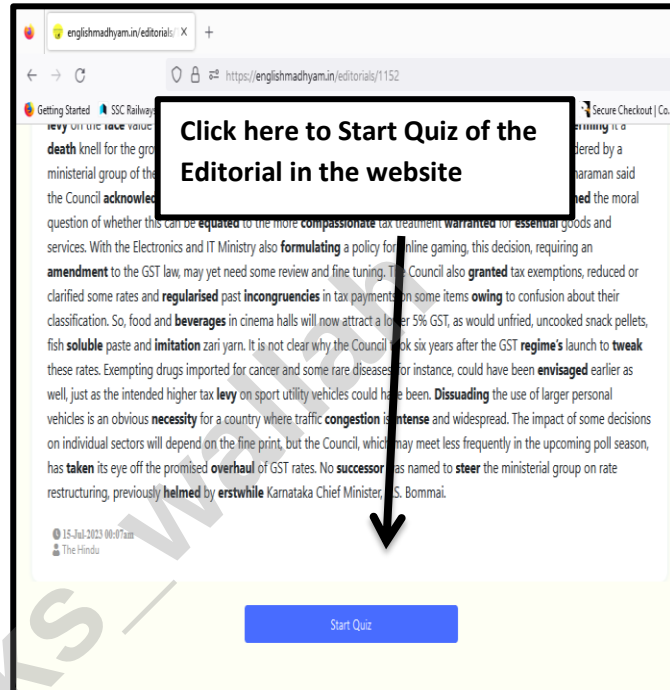
Summary of the Editorial

1. The **Indian rupee has strengthened** from around 87.5 to below 86 per dollar, indicating a recovery after months of decline.
2. Between **October 2024 and February 2025**, **foreign portfolio investors (FPIs)** sold a net **\$22.7 billion** in Indian markets.
3. This **FPI outflow has now slowed**, helping stabilize financial markets.
4. India's **forex reserves**, which had dropped from **\$705 billion to \$624 billion**, have rebounded to over **\$654 billion**.
5. The **merchandise trade deficit** in February was at a **42-month low**, improving the country's external financial position.
6. Inflation is easing, with the **consumer price index (CPI)** rising **only 3.6% year-on-year in February**, below the **RBI's 4% target**.
7. **Food inflation**, often the most volatile, was also relatively low at **3.75%**.
8. A **bumper rabi harvest** is expected, helped by favorable weather and the **end of El Niño conditions**.
9. The good harvest should **reduce food prices**, relieving low-income households and encouraging more **consumer spending**.
10. The **absence of extreme weather** (like heatwaves or erratic monsoons) has benefited key crops like **wheat, chana, and onions**.
11. Lower food inflation gives the **RBI room to consider interest rate cuts**, which could boost economic activity.
12. However, the editorial warns against **excessive optimism**, citing potential **global risks**.
13. **Donald Trump's trade threats**, including possible **reciprocal tariffs on Indian exports**, remain a major concern.
14. Though stock markets are responding positively (Sensex up 5.4%), **policymakers must remain vigilant**.
15. The editorial concludes by urging the **government and RBI to prioritize macroeconomic stability**, including **rate adjustments, liquidity management, and fiscal discipline** to navigate external uncertainties.

Practice Exercise: Banking Pattern Based



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